



PAPER – 6: FINANCIAL MANAGEMENT AND STRATEGIC MANAGEMENT

6A: FINANCIAL MANAGEMENT



QUESTIONS

Division A: Case Scenarios

Integrated Case Scenario

1. Samvar Ltd, a leading **FMCG** company having its current presence in more than 150 Tier I and Tier II cities in India. The stores are operating in the brand name of **GoMART** competing with Reliance fresh, Walmart, BigBazaar and other chains. Owing to the increase in demand from Tier III cities and rural areas, it is planning for massive expansion and is contemplating to open up additional 50 stores which will have variety of FMCG products.

The CFO and his team estimate that the funds needed for massive expansion would be ₹ 200 lakhs per store. Such funds would be utilized for buying out a space and setting up a store, buying the other required fixed assets, etc. Central government will provide a revenue subsidy of 15% on Gross profit if the overall cost of capital doesn't exceed 10%

Apart from above, CFO and his team require an estimate on the additional capital needed based for the smooth running of fixed assets and its daily operations. Based on their market research, they have collected the other information for each store which is as follows-

Average Sales would be ₹ 120 lakhs p.a. with a GP margin of 18%. Customers pay through different digital modes and channels including POS systems (Debit and credit cards) which generally takes approx. 9 days for the funds to get credited in the bank account. 15% of the customers use debit and credit cards to make the payment. Installing a POS system comes with a fee of 2% of total sales through POS.

Being a FMCG outlet, inventories of multiple products need to be kept. Different products have different storage period. However primarily, products are classified into three broad categories, Durable, Semi Durable & Perishable. Perishable products comprise 60% of sales, whereas semi-durable is 25% and balance is for durable products. Inventory storage period for perishable, semi-durable & durable products are 10 days, 30 days & 60 days respectively. Suppliers of these products provide a credit period of average 30 days.

Each store will employ around 20 personnel of a different hierarchy and monthly average salaries to staff for each store is estimated at ₹ 4 lakhs per month. Company will pay employees' dues on the 1st of next month.

Samvar Ltd plans to keep optimum cash balance in hand as suggested by Baumol's model. Excess cash balance if any, will be invested in the marketable securities which will generate a return of 12% p.a. The total disbursement for the year is estimated at ₹ 1.50 lakhs per month with the transaction cost of ₹ 20 per transfer to the disbursement account.

The optimum capital structure with debt equity of 2:1 has been proven ideal for raising the finance and company wishes to follow the same pattern for the additional funds required for each store. Trade credit can also be utilized for financing the expansion needs.

The cost of raising debt and equity for each store is as per the slabs as under:

Project Cost *	Cost of Debt	Minimum rate expected by equity share holders
Upto 80 lakhs	10%	12.5%
Above 80 lakhs but upto 150 Lakhs	11.5%	13.5%

Above 150 lakhs & Upto 250 lakhs	12%	14%
Above 250 lakhs	13.5%	15%

*It means that upto 80 lakhs of project cost company can raise debt at 10% and equity at 12.5% and so on.

Tax rate applicable to the corporate is 25%

Based on the above details, calculate the following for each store:

- i. The optimum Cash balance is
 - (A) ₹ 7,071
 - (B) ₹ 26,500
 - (C) ₹ 7,150
 - (D) ₹ 24,495
- ii. The Gross and Net Working Capital for the next year would be
 - (A) ₹ 6.7730 L, (5.9396 L)
 - (B) ₹ 6.7730 L, 12.7125 L
 - (C) ₹ 200 L, (5.9396L)
 - (D) ₹ (5.9396 L), 6.7730 L
- iii. The amount of total funds needed to setup a store is
 - (A) ₹ 194.0605 L
 - (B) ₹ 200 L
 - (C) ₹ 6.7730 L
 - (D) ₹ 206.7730 L
- iv. The overall cost of capital for raising additional funds for setting up of each store is
 - (A) 10.01%
 - (B) 10.65%
 - (C) 9.90%
 - (D) 8.91%

- v. The amount of revenue subsidy granted by the central govt is
- (A) ₹ 3 L
 - (B) ₹ 3.24 L
 - (C) Nil
 - (D) ₹ 2.25 L

Dividend Decision

2. The cost of capital of a firm is 12% & its expected earning per share at the end of the year is ₹ 20. its existing payout ratio is 25%. the company is planning to increase its payout ratio to 50% what will be the effect of this change on the market price of equity share (MPS) of the company as per Gordon model, if the reinvestment rate of the company is 15%?
- (A) It will increase by ₹ 444.45
 - (B) It will decrease by ₹ 444.45
 - (C) It will increase by ₹ 222.22
 - (D) It will decrease by ₹ 222.22

Financing Decision - Cost of Capital

3. Abhi Ltd is an all equity financed company. It is considering replacing ₹ 275 lakhs equity shares with 15% debentures of the same amount. Current Market value of the company is 1750 lakhs with cost of capital at 20%. Future EBITs are going to be constant and entire earnings are going to be distributed. Corporate Tax Rate can be assumed to be 30%. What will be the new cost of equity of the firm?
- (A) 19.11%
 - (B) 17.53%
 - (C) 10.50%
 - (D) 20.62%

Division B: Descriptive Questions**Financial Analysis & Planning – Ratio Analysis**

4. Vardhaman Limited gives you the following information related for the year ending 31st March, 2024:

Particulars	Amount (₹)
Current Ratio	3:1
Loan funds to Owned Funds Ratio	1:3
Gross Profit Ratio	25%
Stock Turnover Ratio	10
Net Working Capital	₹ 5,00,000
Return on Total Assets (pre-tax)	15%
MPS	₹ 20
Total Assets Turnover Ratio	2.5
Opening stock	₹ 6,50,500
Fixed Assets	₹ 15,00,000
75,000 equity shares of	₹ 10 each
25,000, 12% Pref. Shares of	₹ 10 each
Depreciation	₹ 50,000
Interest on Debt	9%
Future Instalments	₹ 2,00,000

Tax rate applicable to the company is 25%

You are required to CALCULATE:

- (i) Quick Ratio
- (ii) Fixed Assets Turnover Ratio
- (iii) Debt Service Coverage
- (iv) Earnings per Share
- (v) Price Earnings Ratio

Financing Decision - Cost of Capital

5. The Capital Structure of Samyaktva Limited is as follows:

	Amount (in ₹)
12% Debentures	3,50,000
14% Pref. Shares	4,50,000
Equity shares (Face value of ₹ 10 each)	8,50,000
	16,50,000

Additional Information:

1. ₹ 100 per debentures redeemable at premium of 6% with floatation cost of 5% & 5 years of maturity. The current market price of the debenture is ₹ 115
2. ₹ 100 per preference shares redeemable at a premium of 10%, issued at discount of 2% with a floatation cost of 5% on the issue price. The current market price per preference share is ₹ 108. It has maturity of 10 years
3. An equity share has a floatation cost of ₹ 5 with a market price per share currently quoted at ₹ 30. Samyaktva Limited paid a last dividend of ₹ 4 and the company is expected to give an annual growth rate of 9% on the dividends. The company has a practice of paying all the earnings in the form of dividends.
4. Corporate Taxation rate is at 25%

CALCULATE WACC using market value weights

Financing Decision - Capital Structure

6. Ritu Limited in the expansion stage and it provides you the following information:

	(₹)
Profit (EBIT)	5,00,000
Less: Interest on Debenture @ 10%	(1,00,000)
EBT	4,00,000
Less Income Tax @ 30%	(1,20,000)
	2,80,000
No. of Equity Shares (₹ 10 each)	50,000

Earnings per share (EPS)	5.6
Price /EPS (PE) Ratio	10

The company has reserves and surplus of ₹ 10,00,000 and required ₹ 5,00,000 further for modernisation. Return on Capital Employed (ROCE) is constant. Debt (Debt/ Equity) Ratio lesser than 2 will raise the P/E Ratio to 12. Interest rate on additional debts is 12%. You are required to ASCERTAIN the probable price of the share.

- (i) If the additional capital are raised as debt; and
- (ii) If the amount is raised by issuing equity shares at ruling market price.

Financing Decision – Leverages

7. From the following financial data of Company X and Company Y:
 - (i) PREPARE their Income Statements.
 - (ii) CALCULATE Margin of Safety for both the Companies
 - (iii) CALCULATE Percentage change in EPS for both the companies, if percentage change in sales is 25%

(in ₹)

	Company X	Company Y
Variable Cost	72,000	65% of Sales
Fixed Cost	35,000	-
Interest Expenses	12,000	6,000
Financial Leverage	4:1	-
Operating Leverage	-	5:1
Income Tax Rate	30%	30%
Sales	-	1,45,000

Dividend Decisions

8. The following information is supplied to you:

Particulars	Amount (₹)
Total Earnings	4,50,000
No of Equity Shares (of ₹ 100 each)	25,000 shares
Retention ratio	40%
MPS	198

Applying Walter's Model:

- ANALYSE whether the company is following an optimal dividend policy.
- COMPUTE P/E ratio at which the dividend policy will have no effect on the value of the share. Also calculate the MPS at such P/E ratio
- Will your decision change if the P/E ratio is 4.5? ANALYSE.

Investment Decisions – Capital Budgeting

9. A company is considering the proposal to take up a new project which requires investment of ₹ 850 lakhs in plant & machinery and ₹ 150 lakhs in working capital. The project is expected to yield the following Cash flows before tax and depreciation over the next five years:

Year	Amount (₹ in Lakhs)
1	290
2	320
3	360
4	390
5	270

The desired rate of return from the project is 14% and assets must be depreciated at 20% on a written down value basis. The scrap value at the end of the five-year period may be taken as ₹ 140 lakhs. The income tax

applicable to the company is 20%. This is the only asset in the entire block. Capital gains tax is at 15% (for capital loss as well)

You are required to **CALCULATE** the net present value of the project and advise the management to take appropriate decisions. Also calculate the Internal Rate of Return and Desirability factor of the Project.

Note: Present values of Re. 1 at different rates of interest are as follows:

Year	14%	16%	20%
1	0.88	0.86	0.83
2	0.77	0.74	0.69
3	0.67	0.64	0.58
4	0.59	0.55	0.48
5	0.52	0.48	0.40

Management of Working Capital

10. Nirmoh Limited wants to avail short-term loan from the bank. However, bank grants short term loan by keeping the collateral in the form of accounts receivable. A bank is analyzing the receivables of Nirmoh Limited to identify acceptable collateral for a short-term loan.

The current policy of the company is 3/10 net 40. Bank will lend only to the extent of 90% of acceptable receivables at an interest rate of 12% only if both the conditions mentioned below are fulfilled. Bank will keep a reserve of 5% for cash discount & returns

- Customers are not currently overdue for more than 5 days to the net period
- Average aging (payment period) of the customer should not exceed 15 days past the net period.

If any of the above conditions are not fulfilled, the bank will lend 65% of the receivables subject to a reserve of 15% and the interest rate will be charged at 15% on such accounts. The corporate tax rate applicable is 25%.

On the scrutiny of all the receivables, following are the acceptable receivables considered for lending-

Accounts	Amount (₹)	Outstanding in Days since invoiced	Average Aging (payment period) in Days
DR 01	50,000	37	40
DR 02	25,000	25	48
DR 03	1,20,000	47	49
DR 04	72,000	10	56
DR 05	45,000	30	30
DR 06	1,75,000	39	50
DR 07	19,000	55	25
DR 08	54,000	44	54
DR 09	1,05,000	15	25
DR 10	37,000	22	75

You are required to CALCULATE:

- (a) Total amount lend by the bank
 - (b) Effective Interest cost (%) to the company
11. (a) LIST the emerging issues (any four) affecting the future role of CFO.
- (b) EXPLAIN any four Methods for Computation of Cost of Equity Capital.
- (c) Do the profitability index and the NPV criterion of evaluating investment proposals lead to the same acceptance-rejection and ranking decisions? In what SITUATIONS will they give conflicting results?